| Sl. No | Basic of Difference | Condition | Warranty |
|---|---|---|---|
| 1. | **Meaning** | It is a stipulation which is essential to the main purpose of the contract of sale. | It is a stipulation which is collateral to the main purpose of contract. |
| 2. | **Significance** | Condition is so essential to the contract that the breaking of which cancels out the contract. | It is of subsidiary or inferior character. The violation of warranty will not revoke the contract. |
| 3. | **Transfer of Ownership** | Ownership on goods cannot be transferred without fulfilling the conditions. | Ownership on goods can be transferred on the buyer without fulfilling the warranty. |
| 4. | **Remedy** | In case of breach of contract, the affected party can cancel the contract and claim damages. | In the case of breach of warranty, the affected party cannot cancel the contract but can claim damages only. |
| 5. | **Treatment** | Breach of condition may be treated as breach of warranty | Breach of warranty cannot be treated as breach of condition. |

## Implied Conditions and Warranties

In every contract of sale, there are certain expressed and implied conditions and warranties. The term implied conditions means conditions which can be inferred from or guessed from the context of the contract. Following are the implied conditions:

## Implied Conditions

### 1. Conditions as to Title

In the case of sale, seller has a right to sell the goods. The buyer can assume that the seller has a right to sell the goods. eg. 'R' purchased a motorcar from 'D' and used it for 4 months. Later after six months, true owner came and proved that he is a true owner. In this case, 'R' has to return the car to the true owner and claim the full price paid by him from 'D'.

### 2. Conditions as to Description

In a contract of sale by description, there is an implied condition that goods supplied should agree with the descriptions made by the seller. eg. 'A' has bought a machinery from 'B' who described it to be just one year old. After buying the machinery and using it for a month, 'A' came to know that it is very old machinery. In this case, 'A' can return the machinery to 'B' on the ground that machinery is not as per the description i.e. not recent one.

### 3. Sale by Sample

Where goods are sold by showing samples by the seller eg. foodgrains, cloth, medicine, chemicals etc., the bulk of goods supplied by the seller should be similar to the sample shown by the seller. In other words, where the goods supplied do not match with the samples; the buyer can very well return the goods subject to the following conditions:

1. The bulk of the goods must correspond with the sample in quality
2. The buyer should have a reasonable opportunity of comparing the bulk with the sample and



12th Commerce Unit 8.indd 179 09-12-2021 11.52.23 AM